

The obligation to accord most-favoured-nation treatment and the jurisdiction of an investment treaty tribunal

Rule 43. A most-favoured-nation (MFN) clause in the basic investment treaty does not incorporate by reference provisions relating to the jurisdiction of the arbitral tribunal, in whole or in part, set forth in a third investment treaty, unless there is an unequivocal provision to that effect in the basic investment treaty¹

A. INTRODUCTION

644. This chapter examines the narrow but important issue of whether it is legitimate to rely upon a most-favoured-nation (MFN) clause in the applicable investment treaty to expand the jurisdiction of the tribunal by reference to relevant provisions in a third investment treaty. This chapter does not deal with the MFN clause as it relates to substantive investment protection obligations.

645. An MFN clause has been defined by the International Law Commission as ‘a treaty provision whereby a State undertakes an obligation towards another State to accord most-favoured-nation treatment in an agreed sphere of relations’.²

646. Investment treaty precedents are sharply divided on this issue for two reasons. The first can be traced to contradictory interpretations of the three leading

¹ *Plama v Bulgaria* (Preliminary Objections) para. 223 (‘an MFN provision in a basic treaty does not incorporate by reference dispute settlement provisions in whole or in part set forth in another treaty, unless the MFN provision in the basic treaty leaves no doubt that the Contracting Parties intended to incorporate them’); *Telenor v Hungary* (Preliminary Objections) para. 90; *Berschader v Russia* (Preliminary Objections) para. 181; *Tecmed v Mexico* (Merits) 10 ICSID Rep 134, 153/69; *Salini v Jordan* (Preliminary Objections) para. 119; *MCI Power v Ecuador* (Merits) para. 128; *Wintershall v Argentina* (Preliminary Objections) para. 160; (*semble*) *Anglo-Iranian Oil Company (UK v Iran)* 1952 ICJ Rep 93; *Rights of Nationals of the United States of America in Morocco (France v USA)* 1952 ICJ Rep 176; *Ambatielos (Greece v UK)* 1953 ICJ Rep 10; *Leupold-Praesent v German Federal Republic* 25 ILR 540 (1958).

² ‘Final Draft Articles on Most Favoured Nation Clauses’ *YB of Int L Commission* (Vol. 2, Pt. 2, 30th session, 1978) 16 (Art. 4).

judgments of the International Court of Justice on MFN clauses; namely: the *Anglo-Iranian Oil Company* case,³ the *Case Concerning the Rights of Nationals of the United States of America in Morocco*⁴ and the *Ambatielos* case.⁵

647. The second reason is that tribunals have approached the issue by framing the question to be resolved differently. The proper formulation of the question is whether there is an intrinsic distinction between substantive obligations of investment protection, on the one hand, and investment treaty provisions on the jurisdiction of tribunals, on the other, which make the application of the MFN clause to the latter impermissible. The false formulation of the question is whether access to investment treaty arbitration is an important part of the investment protection afforded by the investment treaty regime and therefore within the scope of an MFN clause relating to investment ‘treatment’. This false question is rhetorical – the answer must invariably be affirmative – and hence does not assist an analysis of the problem. This can be demonstrated by a simple example. If the touchstone for reliance upon an MFN clause in relation to provisions concerning the jurisdiction of the tribunal is whether access to an investment treaty tribunal is a part of the ‘treatment’ afforded by the treaty, then a provision fixing the date upon which the treaty comes into force would satisfy the test. If the date of the entry into force of the basic investment treaty is after the date upon which the investor alleges the host contracting state party breached an investment protection obligation, then the tribunal’s jurisdiction does not extend to a claim with respect to that breach. Is it permissible for the investor to rely upon a third investment treaty binding the host contracting state party, which came into force before the alleged breach, in order to expand the *ratione temporis* jurisdiction of the tribunal? The answer must be no.⁶ And yet the false question may have yielded a positive answer.

648. These two sources of divergence in the precedents of investment treaty tribunals are now considered in turn.

B. THE PRECEDENTS OF THE INTERNATIONAL COURT OF JUSTICE

649. The International Law Commission’s Special Rapporteur on the most-favoured-nation clause, Endre Ustor, described the International Court’s judgments in *Anglo-Iranian Oil Company*⁷ *Case Concerning the Rights of Nationals*

³ (*UK v Iran*) 1952 ICJ Rep 93.

⁴ (*France v USA*) 1952 ICJ Rep 176.

⁵ (*Greece v UK*) 1953 ICJ Rep 10.

⁶ And this was the conclusion in: *Tecmed v Mexico* (Merits) 10 ICSID Rep 134, 153/69.

⁷ (*UK v Iran*) 1952 ICJ Rep 93.

of the *United States of America in Morocco*⁸ and the *Ambatielos* case⁹ as the ‘*sedes materiae*’ for the topic.¹⁰ They have also proved to be the *sedes materiae* in the investment treaty jurisprudence on the scope of the MFN clause.¹¹ These judgments merit close examination here as they have been the object of conflicting interpretations.

649C. Anglo-Iranian Oil Company Case (United Kingdom v Iran)¹²

In 1933, an oil concession was concluded between Iran and the Anglo-Persian Oil Company (a company incorporated in the United Kingdom; the ‘Company’).¹³ In 1951, the Iranian Government nationalised the oil industry in Iran, which gave rise to a dispute between the Company and the Government.¹⁴ The United Kingdom adopted the cause of the Company by invoking the right of diplomatic protection and instituted proceedings before the International Court of Justice.¹⁵

The Court interpreted Iran’s declaration under the Optional Clause in the ICJ Statute¹⁶ to limit its consent to the jurisdiction of the Court only to disputes relating to the application of treaties or conventions accepted by Iran after the ratification of its declaration in 1932.¹⁷

The United Kingdom sought to invoke the Court’s jurisdiction with the following argument: (a) the United Kingdom was a party to two treaties with Iran which were executed *before* Iran’s declaration under the Optional Clause in 1857 and 1903; (b) both treaties contained an MFN clause; (c) Iran was party to a treaty with Denmark executed *after* Iran’s declaration under the Optional Clause in 1934; (d) Denmark was thus able to bring to the Court questions relating to the application of its bilateral treaty with Iran; (e) pursuant to the MFN clauses in the treaties between the United Kingdom and Iran, the United Kingdom as the beneficiary state would not be in the position of the most favoured nation if it could not also bring to the Court

⁸ (*France v USA*) 1952 ICJ Rep 176.

⁹ (*Greece v UK*) 1953 ICJ Rep 10.

¹⁰ E. Ustor (Special Rapporteur), ‘Second Report on the Most-Favoured-Nation Clause’, UN Doc. A/CN.4/228 and Add.1, *YB of Int L Commission* (Vol. 2, 22nd session, 1970) 199, 202. The description is borrowed from G. Schwarzenberger, *International Law as Applied by International Courts and Tribunals* (1957, 3rd edn) 240.

¹¹ The exception is: *Gas Natural v Argentina* (Preliminary Objections) para. 44 (the tribunal dismissed all three precedents as ‘marginally relevant cases that have come before the International Court of Justice well before the advent of BITs’; the ICJ precedents contradicted the tribunal’s ultimate decision on the scope of the MFN clause).

¹² 1952 ICJ Rep 93.

¹³ *Ibid.* 102.

¹⁴ *Ibid.* 102.

¹⁵ *Ibid.*

¹⁶ Article 36(2) of the ICJ Statute.

¹⁷ *Ibid.* 107.

questions relating to the application of its bilateral treaty with Iran insofar as Denmark as the third state was in a position to do so.¹⁸

The MFN clauses in the treaties between the United Kingdom and Iran were drafted in the widest terms, requiring MFN treatment for the nationals of each state 'in every respect' and 'in all respects'.¹⁹ Nevertheless, the Court dismissed the United Kingdom's submission because, *a priori*, the MFN clauses could not extend to jurisdictional matters:

The Court needs only observe that the most-favoured-nation clause in the Treaties of 1857 and 1903 between Iran and the United Kingdom has no relation whatever to jurisdictional matters between the two Governments. If Denmark is entitled under Article 36, paragraph 2, of the Statute, to bring before the Court any dispute as to the application of its Treaty with Iran, it is because that Treaty is subsequent to the ratification of the Iranian Declaration. This can not give rise to any question relating to most-favoured-nation treatment.²⁰

President McNair appended a concurring opinion to the Judgment of the Court and clearly distinguished between substantive matters that could fall within the scope of an MFN clause and jurisdictional matters which are beyond its reach:

Unquestionably, if the jurisdiction of the Court in this case had already been established and if the Court was now dealing with the merits, the United Kingdom would be entitled to invoke against Iran the most-favoured-nation clause (Article 9) of the Anglo-Persian Treaty of 1857, for the purpose of claiming the benefit of the provisions of the Irano-Danish Treaty of 1934 as to the treatment of foreign nationals and their property. But that is not the question now before the Court. The question is whether the United Kingdom can effectively base the jurisdiction of the Court on the Irano-Danish Treaty of 1934 as a treaty 'postérieur à la ratification de cette déclaration' – which is quite another matter.²¹

¹⁸ *Ibid.* 110. See further: G. Fitzmaurice, *The Law and Procedure of the International Court of Justice* (1986) 330–1.

¹⁹ Article IX of the Treaty of 1857 reads: 'The High Contracting Parties engage that, in the establishment and recognition of Consuls-General, Consuls, Vice-Consuls, and Consular Agents, each shall be placed in the dominions of the other on the footing of the most-favoured nation; and that the treatment of their respective subjects, and their trade, shall also, in every respect, be placed on the footing of the treatment of the subjects and commerce of the most-favoured nation.' Article II of the Commercial Convention of 1903 reads: 'It is formally stipulated that British subjects and importations in Persia, as well as Persian subjects and Persian importations in the British Empire, shall continue to enjoy in all respects, the regime of the most-favoured nation' (*ibid.* 108).

²⁰ *Ibid.* 110.

²¹ *Ibid.* 122.

650. In *Plama v Bulgaria*,²² the investment treaty tribunal correctly noted that the International Court in *Anglo-Iranian Oil Company* had concluded that ‘the MFN provisions in the Iran-United Kingdom treaties “had no relation whatsoever to jurisdictional matters” between those two State’.²³ Other tribunals have been more equivocal about the significance of the Court’s judgment.²⁴ For instance, in *Siemens v Argentina*²⁵ the tribunal dismissed the relevance of the *Anglo-Iranian Oil Company* case by surmising that the International Court ‘did not consider the “meaning or scope of the MFN clause”’.²⁶ This conclusion is not sustainable. The United Kingdom had expressly invoked the MFN clause to establish the Court’s jurisdiction and the Court had clearly rejected this approach. Of course the circumstances were different because jurisdiction was founded upon the Optional Clause in the International Court’s Statute and not upon an investment treaty. Nevertheless, the Court’s decision cannot be simply dismissed on the basis that the Court did not ‘consider the meaning or scope of the MFN clause’.

650C. Case Concerning the Rights of Nationals of the United States of America in Morocco²⁷

The United States of America concluded a bilateral treaty with Morocco in 1836 which, *inter alia*, conferred consular jurisdiction on the United States in all civil and criminal cases arising between American citizens.²⁸ The United States asserted that, by reason of the MFN clause in that treaty, its consular jurisdiction in the French Zone of Morocco also extended to all cases in which an American citizen was a defendant insofar as subsequent bilateral treaties entered into by Morocco with Great Britain (1856) and Spain (1861) conferred this more extensive right of consular jurisdiction.²⁹ France, which at the time was the protector of Morocco by virtue of the Treaty of 1912 and thus responsible for Morocco’s international relations, disputed the United States’ assertion of this extended right of consular jurisdiction. France instituted proceedings against the United States before the International Court of Justice. The jurisdiction of the Court was founded upon the declarations of France and the United States accepting the Optional Clause in Article 36(2) of the Court’s Statute.³⁰

²² (Preliminary Objections).

²³ *Ibid.* para. 214.

²⁴ *Maffezini v Spain* (Preliminary Objections) 5 ICSID Rep 396, 405/44 (the tribunal cited the *Anglo-Iranian Oil Company* case but did not consider the Court’s reasoning on the scope of an MFN clause, despite its obvious relevance to the issue in contention).

²⁵ *Siemens v Argentina* (Preliminary Objections) 12 ICSID Rep 174.

²⁶ *Ibid.* 196/96.

²⁷ (*France v USA*) 1952 ICJ Rep 176.

²⁸ *Ibid.* 187.

²⁹ *Ibid.* 187–8.

³⁰ *Ibid.* 178–9.

The right of consular jurisdiction is in essence a right of one state to exercise extraterritorial jurisdiction over cases involving its nationals that would otherwise be subject to the territorial jurisdiction of the courts of another state. According to Borchard:

The exercise of this jurisdiction involves in large degree a withdrawal of the nationals of the countries enjoying extraterritorial rights from the local jurisdiction of the authorities of the country of residence, and a subjection of these foreigners to the jurisdiction of their own diplomatic and consular officers in certain classes of cases and for certain purposes.³¹

Although the origins of the right of consular jurisdiction are ancient, in the relevant period of Morocco's history the conferral of the right was intertwined with the twin scourges of capitulations and colonisation.

The jurisdiction of the International Court to hear the dispute between France and the United States was not ultimately contested. It must therefore be emphasised that the MFN clause in the treaty between the United States and Morocco was not being invoked in relation to any aspect of the Court's jurisdiction or procedure. Instead, the United States' reliance on the MFN clause was directed to the expansion of its substantive right of consular jurisdiction insofar as Great Britain and Spain in their treaties with Morocco had been granted consular jurisdiction in all cases where their nationals were defendants.³² As part of its asserted privileges attaching to consular jurisdiction, the United States contended that its nationals were not subject to the local laws of Morocco without its consent, in particular a decree of 1948 which introduced a licensing regime for American imports.³³ It was France's submission that the MFN clause could not be invoked for this purpose because both Spain and Great Britain had renounced their capitulatory rights and privileges (including the right of consular jurisdiction) in 1914 and 1937 respectively; thus well before the United States' assertion of the same right of consular jurisdiction following the promulgation of the Moroccan decree in 1948.³⁴

651. In relation to the development of international law on MFN clauses, the most important aspect of the *Case Concerning the Rights of Nationals of the United States of America in Morocco* was the International Court's rejection of the United States' 'permanent incorporation by reference' argument:

³¹ E. Borchard, *The Diplomatic Protection of Citizens Abroad* (1919) 430. Borchard lists the most common types of extraterritorial privileges as including: 'an exemption from the jurisdiction of the courts of the oriental state; inviolability of the domicile; freedom from arrest by native officials, except when in the act of committing a flagrant crime; if arrested, the right to surrender to the consul for trial and punishment; criminal or civil trial in consular or national courts of the accused or defendant; general jurisdiction of the foreign consul over his nationals' (*ibid.* 433).

³² (*France v USA*) 1952 ICJ Rep 176, 190.

³³ *Ibid.* 180–1.

³⁴ *Ibid.* 190–1.

According to [the United States'] view, rights or privileges which a country was entitled to invoke by virtue of a most-favoured-nation clause, and which were in existence at the date of its coming into force, would be incorporated permanently by reference and enjoyed and exercised even after the abrogation of the treaty provisions from which they had been derived.³⁵

652. The Court found that this argument was 'inconsistent with the intentions of the parties to the treaties now in question'.³⁶

653. The *Case Concerning the Rights of Nationals of the United States of America in Morocco* is cited by the International Law Commission as a leading authority in support of its Final Draft Article 21(1) on MFN Clauses, which reads:

The right of the beneficiary State, for itself or for the benefit of persons or things in a determined relationship with it, to most-favoured-nation treatment under a most-favoured-nation clause is terminated or suspended at the moment when the extension of the relevant treatment by the granting State to a third State or to persons or things in the same relationship with that third State is terminated or suspended.³⁷

654. Several investment treaty tribunals have correctly surmised that *Rights of US Nationals in Morocco* sheds no light at all on the question of whether an MFN clause can extend to aspects of an international tribunal's jurisdiction.³⁸ Other tribunals have placed mistaken reliance on the case. For instance, in *Siemens v Argentina*,³⁹ the tribunal opined that '[i]t is evident that the ICJ accepted that MFN clauses may extend to provisions related to jurisdictional matters, but this was not really the issue between the parties'.⁴⁰ As the foregoing analysis of the case demonstrates, the Tribunal's reference to 'jurisdiction' here is apt to mislead because it was the substantive right of consular jurisdiction that was in issue and not the jurisdiction of the International Court. Indeed, in *National Grid v Argentina*,⁴¹ the tribunal omitted the equivocation of the *Siemens* Tribunal about the 'real' issue in dispute and stated that:

The arbitral tribunal in *Siemens* reached a similar conclusion, recalling that the International Court of Justice had also held, in *Rights of US*

³⁵ *Ibid.* 191.

³⁶ *Ibid.* 191.

³⁷ (1983) 2 *Ybk of Int L Commission*.

³⁸ E.g.: *Plama v Bulgaria* (Preliminary Objections) para. 213 (the Tribunal provides an accurate summary of the ICJ's decision and concludes that 'an MFN provision does not operate as an automatic incorporation by reference').

³⁹ (Preliminary Objections).

⁴⁰ *Ibid.* para. 99.

⁴¹ (Preliminary Objections).

Nationals in Morocco, that MFN clauses may extend to provisions related to jurisdictional matters.⁴²

655. The tribunal in *National Grid* also appears to have confused the submission of the United States before the International Court and the Court's actual decision:

When the ICJ considered the case of the *Rights of US Nationals in Morocco*, it concluded that under the MFN clause in the US–Morocco treaty of 1836, the US was entitled to invoke the provisions of other treaties relating to the capitulatory regime.⁴³

656. In fact, the International Court came to the opposite conclusion.

657. The final judgment in the trilogy is *Ambatielos*.

657C. Ambatielos Case (Greece v United Kingdom)⁴⁴

Mr Ambatielos, a Greek shipowner, entered into a contract with the British Ministry of Shipping for the purchase of several steamships. By agreement of the parties, Ambatielos's claim against the Board of Trade (the successor to the Ministry) for breach of contract was heard by the English Admiralty Court, which gave judgment against Ambatielos. The Hellenic Government then took up its national's claim against the United Kingdom before the International Court of Justice by invoking the Treaty of Commerce and Navigation of 1886 between the two States (the 'TCN Treaty'). By its judgment of 1 July 1952, the Court ruled that it did not have jurisdiction to decide on the merits of the claim. The Court nevertheless found that it did have jurisdiction to decide whether the United Kingdom was under an obligation to submit to the arbitration of the dispute pursuant to a Declaration to the TCN Treaty that had been signed in 1926. The question was whether the Hellenic Government's claim was 'based on' the TCN Treaty.

The Court ruled that the United Kingdom was obliged to submit to arbitration insofar as the Hellenic Government had made out a 'sufficiently plausible'⁴⁵ case that its claim was 'based on' the national treatment clause in Article XV of the TCN Treaty, which read:

The subjects of each of the two Contracting Parties in the dominions and possessions of the other shall have free access to the Courts of Justice for the prosecution and defence of their rights...⁴⁶

⁴² *Ibid.* para. 70.

⁴³ *Ibid.* para. 87.

⁴⁴ 1953 ICJ Rep 10.

⁴⁵ *Ibid.* 18.

⁴⁶ *Ibid.* 20.

According to the Hellenic Government, Ambatielos had been deprived of his right of 'free access' to the English Courts because officials of the Board of Trade had failed to disclose certain evidence in its possession and that this resulted in damage to Ambatielos. Moreover, the Hellenic Government complained of the refusal by the English Court of Appeal to grant leave to Ambatielos to adduce further evidence. These complaints, according to the Court, gave rise to a dispute about the proper interpretation of 'free access to the Courts of Justice' which was 'based on' the TCN Treaty and thus covered by the obligation to arbitrate.⁴⁷ The Court did not decide upon the import of the MFN clause in the TCN Treaty, which had been relied upon by the Hellenic Government as a further foundation for a claim 'based on' the Treaty.

The MFN clause in Article X of the TCN Treaty read:

The Contracting Parties agree that, in all matters relating to commerce and navigation, any privilege, favour or immunity whatever which either Contracting Party has actually granted or may hereafter grant to the subjects or citizens of any other State shall be extended immediately and unconditionally to the subjects or citizens of the other Contracting Party; it being their intention that the trade and navigation of each country shall be placed, in all respects, by the other on the footing of the most favoured nation.⁴⁸

The Hellenic Government invoked certain provisions of other treaties between the United Kingdom and third states concerning the administration of justice⁴⁹ and contended that such rights must be conferred upon

⁴⁷ The opinion of the four dissenting Judges (Sir Arnold McNair, President, and Judges Basevant, Klaestad and Read) is to be preferred on this point: 'This Article promises free access to the Courts; it says nothing with regard to the production of evidence. Questions as to the production of evidence are by their nature within the province of the law of the Court dealing with the case (*lex fori*). The Treaty could have laid down certain requirements in this connection, but it did not do so. The free access clause frequently found in treaties, more commonly in the past than at the present, has as its purpose the removal, for its beneficiaries, of the obstructions, which existed in certain countries as the result of old traditions, to the right of foreigners to have recourse to the Courts. Its object is, as it states, to ensure free access to the Courts, not to regulate the different question of the production of evidence. An extensive interpretation of the free access clause which would have the effect of including in it the requirements of the proper administration of justice, in particular with regard to the production of evidence, would go beyond the words and the purpose of Article XV, paragraph 3. Free access to the Courts is one thing; the proper administration of justice is another.' *Ibid.* 33.

⁴⁸ *Ibid.* 19.

⁴⁹ Article 24 of the Treaty of Peace and Commerce with Denmark of 11 July 1670 providing that the Parties 'shall cause justice and equity to be administered to the subjects and people of each other'; Article 8 of the Treaties of Peace and Commerce with Sweden of 11 April 1654, and of 21 October 1661, providing that 'In case the people and subjects on either part ... or those who act on their behalf before any Court of Judicature for the recovery of their debts, or for other lawful occasions, shall stand in need of the Magistrate's help, the same shall be readily, and according to the equity of their cause, in friendly manner granted them'; Article 10 of the Treaty of Commerce with Bolivia, of 1 August 1911, reserving the right to exercise diplomatic intervention in any case in which there may be evidence of 'denial of justice' or 'violation of the principles of international law' (*ibid.* 21).

Greek nationals by virtue of Article X of the TCN Treaty. The United Kingdom relied upon the *ejusdem generis* principle in response: the subject matter of the TCN Treaty was commerce and navigation and hence the MFN clause embedded in it could not attract provisions in other treaties dealing with the administration of justice.⁵⁰ Counsel for Greece sought to characterise Mr Ambatielos' grievance as a 'matter relating to commerce':

[The dispute] centres upon a commercial contract and the breach of it, and then another action withholding the evidence closely intertwined with what had gone before, and it is each of these things and the whole totality of these things which give rise to the complaint which the Greek Government brings today. Now are those not matters relating to commerce?⁵¹

As stated above, the Court did not make a ruling upon these conflicting submissions on the scope of the MFN clause. The four dissenting judges, however, rendered a joint opinion which upheld the British position:

[H]aving regard to its terms, Article X promises most-favoured-nation treatment only in matters of commerce and navigation; it makes no provision concerning the administration of justice; in the whole of the Treaty this matter is the subject of only one provision, of limited scope, namely, Article XV, paragraph 3, concerning free access to the Courts, and that Article contains no reference to most-favoured-nation treatment. The most favoured-nation clause in Article X cannot be extended to matters other than those in respect of which it has been stipulated. We do not consider it possible to base the obligation on which the Court has been asked to adjudicate, on an extensive interpretation of this clause.⁵²

The matter then came before the Arbitration Commission in accordance with the dispute resolution procedure stipulated in the Declaration of 1926 to the TCN Treaty. The Arbitration Commission interpreted the MFN clause in Article X more expansively than the four dissenting judges of the International Court. Its reasoning was as follows:

In the Treaty of 1886 the field of application of the most-favoured-nation clause is defined as including 'all matters relating to commerce and navigation'. It would seem that this expression has not, in itself, a strictly defined meaning. The variety of provisions contained in the Treaties of commerce and navigation proves that, in practice, the meaning given to it is fairly flexible. For example, it should be noted that most of these Treaties contain provisions concerning the administration of justice.

⁵⁰ Submission of Counsel for the United Kingdom, Mr Fitzmaurice, 1953 ICJ Pleadings 402.

⁵¹ Submission of Counsel for Greece, Sir Frank Soskice, 1953 ICJ Pleadings 457.

⁵² Dissenting Opinion by Sir Arnold McNair, President, and Judges Basevant, Klaestad and Read, 1953 ICJ Rep 10, 34.

... It is true that the 'administration of justice', when viewed in isolation, is a subject-matter other than 'commerce and navigation', but this is not necessarily so when it is viewed in connection with the protection of the rights of traders. Protection of the rights of traders naturally finds a place among the matters dealt with by treaties of commerce and navigation.

Therefore it cannot be said that the administration of justice, in so far as it is concerned with the protection of these rights, must necessarily be excluded from the field of application of the most-favored-nation clause, when the latter includes 'all matters relating to commerce and navigation'.⁵³

The Arbitration Commission thus held that the *ejusdem generis* principle did not operate to exclude reliance upon provisions of treaties between the United Kingdom and third states that provided for more favourable treatment in the domain of the 'administration of justice'. Nevertheless, the Commission found that none of the treaties relied upon by the Hellenic Government assured to the beneficiary of the MFN clause a more favourable treatment than that provided for by the municipal laws of those states.⁵⁴ Reliance upon the MFN clause in Article X of the TCN Treaty was thus futile in the pursuit of a claim against the United Kingdom.

The essence of the claim submitted on behalf of Ambatielos was for denial of justice in the English courts. The strongest case that the Hellenic Government could make was that, by virtue of the MFN clause in Article X of the TCN Treaty, Ambatielos was entitled to the same treatment as provided for in Article 10 of the Treaty of Commerce between the United Kingdom and Bolivia, which referred to protection against a 'denial of justice' in 'violation of the principles of international law'.⁵⁵ The Arbitration Commission found that, as a matter of treaty interpretation, the object of this provision was not to extend protection under the 'principles of international law' to nationals but related to conditions for exercising the right of diplomatic protection by the Contracting Parties.⁵⁶ In other words, the object of Article 10 of the Treaty of Commerce between the United Kingdom and Bolivia was not a substantive right in favour of nationals but a *condition* for the exercise of the right of diplomatic protection.

⁵³ 23 ILR 306, 319–20 (1956).

⁵⁴ *Ibid.* 322–3. The Arbitration Commission found that the references to 'justice', 'right' and 'equity' in the third party treaties: '[A]re not guaranteed by these provisions as rights independent of and superior to positive law, but simply within the framework of the municipal law of the Contracting States' (*ibid.* 321).

⁵⁵ *Ibid.* 320. The full text of the provision read: 'The High Contracting Parties agree that during the period of existence of this treaty they mutually abstain from diplomatic intervention in cases of claims or complaints on the part of private individuals affecting civil or criminal manners in respect of which legal remedies are provided. They reserve, however, the right to exercise such intervention in any case in which there may be evidence of delay in legal and judicial proceedings, denial of justice, failure to give effect to a sentence obtained in his favour by one of their nationals or violation of the principles of international law.' *Ibid.*

⁵⁶ *Ibid.* 321.

658. Hence, in *Ambatielos*, the debate about the scope of the MFN clause in the basic treaty never left the field of the substantive treatment to be accorded to foreign nationals. The Hellenic Government, on behalf of *Ambatielos*, relied upon the MFN clause in Article X of the TCN Treaty to found a claim akin to denial of justice for prejudice alleged to have been suffered by *Ambatielos* in the English courts. In no sense was the Hellenic Government attempting to displace jurisdictional requirements relating to its claim before the Arbitration Commission by reliance upon the MFN clause.

659. This analysis of the *Ambatielos* case reveals that the Arbitration Commission's ruling *in abstracto* that the scope of an MFN clause expressed to relate to matters of 'commerce and navigation' might encompass 'the administration of justice' is of little significance in deciding whether an MFN clause expressed in general terms might encompass the jurisdictional framework for the submission of claims to international arbitration.

660. This conclusion about the import of the *Ambatielos* case is endorsed by several investment treaty tribunals. In *Plama v Bulgaria*,⁵⁷ the tribunal correctly stated that:

[The *Ambatielos*] ruling relates to provisions concerning substantive protection in the sense of denial of justice in the domestic courts. It does not relate to the import of dispute resolution provisions of another treaty into the basic treaty.⁵⁸

661. Similarly, in *Salini v Jordan* it was observed that:⁵⁹

[I]n this case, Greece invoked the most-favoured-nation clause with a view to securing, for one of its nationals, not the application of a dispute settlement clause, but the application of substantive provisions in treaties between the United Kingdom and several other countries under which their nationals were to be treated in accordance with 'justice', 'right' and 'equity'. The solution adopted by the Arbitration Commission cannot therefore be directly transposed in this specific instance.⁶⁰

662. The first investment treaty tribunal to extend the MFN clause to aspects of its own jurisdiction was in *Maffezini v Spain*.⁶¹ Critical to its decision was the tribunal's mistaken reliance upon the *Ambatielos* case:

The Commission accepted the extension of the clause to questions concerning the administration of justice and found it to be compatible with the *ejusdem generis* rule. It concluded that the protection of the rights

⁵⁷ (Preliminary Objections).

⁵⁸ *Ibid.*, para. 215.

⁵⁹ (Preliminary Objections).

⁶⁰ *Ibid.*, para. 112.

⁶¹ (Preliminary Objections) 5 ICSID Rep 396.

of persons engaged in commerce and navigation by means of dispute settlement provisions embraces the overall treatment of traders covered by the clause.⁶²

663. The jurisdiction of the Arbitration Commission in the *Ambatielos* case was not in issue and hence it was misleading to characterise the subject matter of the MFN clause as extending to 'dispute resolution provisions'. The Hellenic Government was not relying upon the MFN clause in the treaty between the United Kingdom and Greece in order to found jurisdiction where it did not otherwise exist; rather, the Hellenic Government was seeking to widen the scope of the substantive protection accorded to its nationals to include aspects of the administration of justice before the English courts.

664. The *Maffezini* tribunal's misinterpretation of *Ambatielos* has influenced several other tribunals. For instance, in *National Grid v Argentina*⁶³ it was stated that:

The *Ambatielos* arbitration commission, the ICJ, and the arbitral tribunal in *Maffezini* all concurred that the element of dispute settlement at issue was part of the protection – treatment – of investors.⁶⁴

665. In *Siemens v Argentina*,⁶⁵ the tribunal had this to say about the *Ambatielos* case:

The Respondent has argued that, in *Ambatielos*, administration of justice refers to substantive procedural rights like just and equitable treatment and not to purely jurisdictional matters. The Tribunal does not find any basis in the reasoning of the Commission to justify such distinction.⁶⁶

666. The tribunal did not elaborate any further upon its reasons for rejecting the 'distinction', despite the fact that the basis for the Hellenic Government's reliance upon the MFN clause in *Ambatielos* was to found a claim for denial of justice in circumstances where the basic treaty which conferred jurisdiction upon the Arbitration Commission supplied no such cause of action. There was no doubt that the Arbitration Commission was properly seized of a dispute relating to the basic treaty.

C. THE FALSE QUESTION

667. The first case in which an investor was permitted to rely upon an MFN clause to overcome a provision limiting the jurisdiction of the tribunal was

⁶² *Ibid.* 406/50.

⁶³ (Preliminary Objections).

⁶⁴ *Ibid.* para. 89.

⁶⁵ (Preliminary Objections) 12 ICSID Rep 174.

⁶⁶ *Ibid.* para. 197/102.

Maffezini v Spain.⁶⁷ Here Article X(2) of the applicable Argentina/Spain BIT (1992) requires the investor first to submit an investment dispute to the national courts of the host state. If no decision is rendered by the national courts within 18 months and the dispute is still in existence, then the investor is entitled to institute international arbitration proceedings against the host state.⁶⁸ The question for the tribunal in *Maffezini* was whether the investor could, on the basis of the MFN clause in the BIT, avoid the application of this modified rule on the exhaustion of local remedies by reliance upon treaties between Spain and third party states which did not include this requirement.

668. The tribunal's reasoning in upholding its jurisdiction can be summarised as follows:

- (1) The MFN clause in the basic treaty relates to the protection of foreign investors.
- (2) The modified rule on the exhaustion of local remedies in the basic treaty is an aspect of the 'dispute resolution arrangements'.
- (3) 'Dispute resolution arrangements are inextricably related to the protection of foreign investors.'⁶⁹
- (4) Therefore, the investor can rely upon the MFN clause to invoke 'provisions for the settlement of disputes that are more favourable to the protection of the investor's rights and interests'⁷⁰ in a third treaty to overcome the modified exhaustion of local remedies rule in the basic treaty.

669. The tribunal's conclusion is incorrect because the proposition in step (3) is a conceptual fallacy: whether the investor or the tribunal perceives that 'dispute settlement arrangements' are 'inextricably related to the protection of foreign nationals' is irrelevant; the critical question is whether the state contracting parties permitted derogation from the 'dispute settlement arrangements' by the inclusion of an MFN clause in the basic treaty. The only way to answer that question is to assess the intrinsic quality of the 'dispute resolution arrangements' rather than simply designating them as part of the 'protection of foreign investors'.

670. The surprising aspect of the decision in *Maffezini* is that the tribunal set out four examples of its own that demonstrate that its statement of principle cannot be generalised. According to the tribunal, an investor cannot be permitted to rely upon the MFN clause to bypass the following aspects of the 'dispute resolution arrangements':

⁶⁷ (Preliminary Objections) 5 ICSID Rep 396.

⁶⁸ *Ibid.* 399/19.

⁶⁹ *Ibid.* 407–8/54.

⁷⁰ *Ibid.* 408/56. The same conclusion was reached in relation to Art. X(2) of the Argentina/Spain BIT in: *Suez v Argentina* (Preliminary Objections) para. 57; *Gas Natural v Argentina* (Preliminary Objections) para. 49.

- a provision requiring the exhaustion of local remedies;
- a fork-in-the-road provision;
- a particular choice of arbitration ‘system’ (such as ICSID); and
- ‘precise rules of procedure’ in a ‘highly institutionalised system of arbitration’ (such as NAFTA).⁷¹

671. The tribunal’s justification for treating these aspects of the ‘dispute resolution arrangements’ as different to other aspects (such as the modified exhaustion of local remedies rule in the basic treaty in *Maffezini*) is that they constitute ‘public policy considerations that the contracting parties might have envisaged as fundamental conditions for their acceptance of the agreement in question’.⁷² But what makes these enumerated ‘conditions’ more ‘fundamental’ than others? Can it really be said that the requirement that the investor exhausts local remedies before resorting to international arbitration is a ‘fundamental’ ‘public policy consideration’, whereas the requirement of Article X(2) of the Argentina/Spain BIT, whereby the investor must first submit to the local courts and await a decision for a period of 18 months before resorting to international arbitration, is not? Moreover, is Article X(2) not sufficiently ‘precise’ to warrant the same deference as a provision of Chapter 11 of NAFTA?

672. The *Maffezini* tribunal’s attempt to carve out a specific group of ‘fundamental’ dispute resolution provisions from a more general category exemplifies the problem in equating ‘dispute resolution arrangements’ with the ‘treatment’ to be accorded to investors in the first place. Nevertheless, the false question in *Maffezini* has been posed in several cases.⁷³ In *Siemens v Argentina*,⁷⁴ the

⁷¹ (Preliminary Objections) 5 ICSID Rep 396, 410/63.

⁷² *Ibid.* 410/62.

⁷³ *Siemens v Argentina* (Preliminary Objections) 12 ICSID Rep 174, 197/102 ([‘T]he Tribunal finds that the Treaty itself, together with so many other treaties of investment protection, has as a distinctive feature special dispute settlement mechanisms not normally open to investors. Access to these mechanisms is part of the protection offered under the Treaty. It is part of the treatment of foreign investors and investments and of the advantages accessible through a MFN clause.’); *Suez v Argentina* (Preliminary Objections) para. 57 ([‘T]he Tribunal finds no basis for distinguishing dispute settlement matters from any other matters covered by a bilateral investment treaty. From the point of view of the promotion and protection of investments, the stated purposes of the Argentina-Spain BIT, dispute settlement is as important as other matters governed by the BIT and is an integral part of the investment protection regime that two sovereign states, Argentina and Spain, have agreed upon.); *Gas Natural v Argentina* (Preliminary Objections) para. 26 ([‘The question is] whether or not the dispute settlement provisions of bilateral investment treaties constitute part of the bundle of protections granted to foreign investors by host states.’); *RosInvest v Russia* (Preliminary Objections) para. 130 ([‘I]t is difficult to doubt that an expropriation interferes with the investor’s use and enjoyment of the investment, and that the submission to arbitration forms a highly relevant part of the corresponding protection for the investor by granting him, in case of interference with his “use” and “enjoyment”, procedural options of obvious and great significance compared to the sole option of challenging such interference before the domestic courts of the host state.’).

⁷⁴ (Preliminary Objections) 12 ICSID Rep 174.

Maffezini approach was extended to allow the investor to select those ‘favourable’ elements of the dispute resolution arrangements of the third treaty that it wished to incorporate into the basic treaty, and to avoid other elements which the investor perceived to impose a procedural burden.⁷⁵ Following *Maffezini*, this extension was stated to be subject to ‘public policy considerations’, but none were found to be applicable in that case.⁷⁶ In *Gas Natural v Argentina*,⁷⁷ the ‘false question’ once again loomed large. The tribunal concluded that the provisions conferring the right to international arbitration ‘are universally regarded – by opponents as well as by proponents – as essential to a regime of protection of foreign direct investment’.⁷⁸ The tribunal also appears to have been persuaded by the frequency with which ‘independent’ international arbitration is provided for in ‘the vast majority of bilateral investment treaties, and nearly all the recent ones’.⁷⁹ But neither the importance of the international arbitration of investment disputes, nor the frequency of its provision in investment treaties without the requirement of an initial submission to municipal courts, sheds any light on the fundamental issue that was not addressed by the tribunal: viz. the question of whether provisions relating to the tribunal’s jurisdiction can be overridden by reliance upon an MFN clause. Moreover, it is difficult to understand how these two factors – wider perceptions of ‘importance’ and frequency in other treaties – can be determinative in the interpretation of a treaty pursuant to Article 31 of the Vienna Convention. This point was well made by the tribunal in *Telenor v Hungary*:⁸⁰

Those who advocate a wide interpretation of the MFN clause have almost always examined the issue from the perspective of the investor. But what has to be applied is not some abstract principle of investment protection in favour of a putative investor who is not a party to the BIT and who at the time of its conclusion is not even known, but the intention of the States who are the contracting parties. The importance to investors of independent international arbitration cannot be denied, but in the view of this Tribunal its task is to interpret the BIT and for that purpose to apply ordinary canons of interpretation, not to displace, by reference to general policy considerations concerning investor protection, the dispute resolution mechanism specifically negotiated by the parties.⁸¹

⁷⁵ *Ibid.* 202/120.

⁷⁶ *Ibid.*

⁷⁷ (Preliminary Objections).

⁷⁸ *Ibid.* para. 29.

⁷⁹ *Ibid.* para. 29.

⁸⁰ (Preliminary Objections).

⁸¹ *Ibid.* para. 95.

D. NO INCORPORATION BY REFERENCE OF PROVISIONS OF A THIRD TREATY DEALING WITH JURISDICTION

673. The foregoing analysis of the seminal judgments of the International Court in *Anglo-Iranian Oil Company*,⁸² the *Case Concerning the Rights of Nationals of the United States of America in Morocco*⁸³ and the *Ambatielos* case⁸⁴ favours the conclusion that an MFN clause in the basic treaty cannot be invoked to incorporate jurisdictional provisions contained in a third treaty. To this can be added the case of *Aroa Mines* before the British–Venezuelan Mixed Claims Commission. Umpire Pumley ruled that the relevant MFN clause that extended to the ‘administration of justice’ applied only to rights before municipal courts but not, as the United Kingdom had contended, in relation to the international proceedings before the Mixed Claims Commission.⁸⁵ Moreover, municipal courts have traditionally adopted a strict interpretation of the *ejusdem generis* principle.⁸⁶ The question is whether a different approach is justified in the investment treaty context.

674. The consent to investor/state arbitration stipulated by the contracting state parties in an investment treaty is in effect a unilateral offer to arbitrate a class of potential disputes with a class of potential claimants in accordance with the rules set out in the treaty. When a claimant investor institutes arbitration proceedings against the host contracting state party by invoking its consent to investor/state arbitration in an investment treaty, the claimant investor must be deemed to have accepted the terms of that unilateral offer. At that moment, when arbitration proceedings are commenced by the claimant investor, an arbitration agreement is concluded as between the host contracting state party and the claimant investor.⁸⁷ That arbitration agreement is the source of the tribunal’s adjudicative power: it vests the tribunal with jurisdiction and it

⁸² (*UK v Iran*) 1952 ICJ Rep 93.

⁸³ (*France v USA*) 1952 ICJ Rep 176.

⁸⁴ (*Greece v UK*) 1953 ICJ Rep 10.

⁸⁵ J. Ralston, *Venezuelan Arbitrations of 1903* (1904) 344.

⁸⁶ The practice of the French courts was referred to by the ILC’s Special Rapporteur. An MFN clause in relation to the ‘admission and treatment of subjects of the two nations’ in the Franco-German Commercial Treaty (1871) was held not to extend to procedural requirements for bringing suit in civil courts: decision of the French *Cour de Cassation*, 22 December 1913, *Braunkohlen Briket Verkaufsverein Gesellschaft c. Goffart*; cited in E. Ustor (Special Rapporteur), ‘Fourth Report on the Most-Favoured-Nation Clause’, UN Doc. A/CN.4/266 and Add.1, *YB of Int L Commission* (Vol. 2, 25th session, 1973) 97, 103–4. Likewise, an MFN clause granting ‘the benefit of every favour, immunity or privilege in matters of commerce or industry’ in the Anglo-French Convention (1902) was held not to extend to a privilege enjoyed by Swiss nationals which allowed them to sue in France without giving security for costs: decision of the Commercial Tribunal of the Seine, *Lloyd’s Bank c. De Ricqlès et De Gaillard*; cited *ibid.* 104.

⁸⁷ This conceptual approach has been endorsed in: *Plama v Bulgaria* (Preliminary Objections) para. 198 (‘In the framework of a BIT, the agreement to arbitrate is arrived at by the consent to arbitration

determines the scope of that jurisdiction. The conclusion of an arbitration agreement at the time the claimant/investor commences arbitration proceedings also triggers the application of municipal laws and international conventions on arbitration, which serve to protect the efficacy of the arbitration agreement and the recognition and enforcement of an award rendered on the basis of that arbitration agreement. Thus, for instance, once the arbitration agreement is concluded between the claimant investor and the host state, it can be invoked to justify a stay of court proceedings relating to the investment dispute pursuant to Article II(3) of the New York Convention.

675. This analysis demonstrates that the terms of the arbitration agreement must be capable of objective ascertainment at the time of its conclusion. That is only possible if the tribunal's jurisdiction is defined by reference to the basic treaty alone and not by reference to any third treaty. It is simply inimical to the consensual character of arbitration for the fundamental aspects of the arbitration agreement to be ascertained only after the tribunal's determination of which particular 'more favourable' jurisdictional provisions of a third treaty might be incorporated at the insistence of the claimant.⁸⁸ Before that determination, how should a municipal court respond to the claimant investor's application for a stay pursuant to Article II(3) of the New York Convention in respect of court proceedings relating to an aspect of the investment dispute which is beyond the scope of the consent to arbitration set out in the basic treaty?⁸⁹ How can useful negotiations between the host state and the investor proceed if the scope of the potential arbitration proceedings cannot be defined with any certainty? Is the requirement of 'writing' for the purposes of Article II(1) of the New York Convention or Article 25(1) of the ICSID Convention satisfied if the tribunal's jurisdiction is expanded by reference to a third treaty *after* the arbitration agreement is concluded between the host contracting state party and the investor?

676. In *Plama v Bulgaria*,⁹⁰ the tribunal surmised that:

[D]ispute resolution provisions in a specific treaty have been negotiated with a view to resolving disputes under that treaty. Contracting States cannot be presumed to have agreed that those provisions can be enlarged by incorporating dispute resolution provisions from other treaties negotiated in an entirely different context.⁹¹

that a state gives in advance in respect of investment disputes falling under the BIT, and the acceptance thereof by an investor if the latter so desires.'). See also: *Occidental Exploration & Production Company v Republic of Ecuador* [2005] EWCA Civ 1116, [2006] QB 432, 459.

⁸⁸ *Plama v Bulgaria* (Preliminary Objections) para. 198; *Wintershall v Argentina* (Preliminary Objections) paras. 116–17, 160(2), 160(3).

⁸⁹ Such as, for instance, where the consent is limited to disputes concerning the amount of compensation: see Chapter 6, paras. 478 *et seq.*

⁹⁰ (Preliminary Objections).

⁹¹ *Ibid.* para. 207.

677. This statement of principle should be endorsed. It is consistent with the reaction of certain states to the contrary position originally advocated in *Maffezini*.⁹² It is also more consistent with the principles of treaty interpretation. Consider the following expansion of the *Maffezini* principle in *Gas Natural v Argentina*:⁹³

Unless it appears clearly that the state parties to a BIT or the parties to a particular investment agreement settled on a different method for resolution of disputes that may arise, most-favoured-nation provisions in BITs should be understood to be applicable to dispute settlement.⁹⁴

678. The point is that the state parties have ‘settled on a different method for resolution of disputes’ by the express terms they have employed in the basic treaty. Resorting to the MFN clause in a third treaty is a device to circumvent those express terms. The test for the application of the MFN clause in *Gas Natural* is therefore devoid of real content.

E. ‘UNLESS THERE IS AN UNEQUIVOCAL PROVISION TO THAT EFFECT IN THE BASIC INVESTMENT TREATY’

679. An MFN clause in the basic treaty can only be relied upon to incorporate jurisdictional provisions in a third treaty where the MFN clause clearly envisages that possibility. The most notable example is the UK Model BIT, Article 3(3) of which provides:

For avoidance of doubt it is confirmed that the treatment provided for in paragraphs (1) and (2) above shall apply to the provisions of Articles 1 to 11 of this Agreement.⁹⁵

⁹² In *Plama v Bulgaria* (Preliminary Objections) paras. 202–3, the tribunal referred to the Free Trade of the Americas (FTAA) draft of 21 November 2003 at note 13: ‘The Parties note the recent decision of the arbitral tribunal in the *Maffezini* (Arg.) v. Kingdom of Spain, which found an unusually broad most favored nation clause in an Argentina-Spain agreement to encompass international dispute resolution procedures ... The Parties share the understanding and intent that this [MFN] clause does not encompass international dispute resolution mechanisms such as those contained in Section C.2. b (Dispute Settlement between a Party and an Investor of Another Party) of this Chapter, and therefore could not reasonably lead to a conclusion similar to that of the *Maffezini* case.’ The tribunal concluded that: ‘The specific exclusion in the draft FTAA is the result of a reaction by States to the expansive interpretation made in the *Maffezini* case. That interpretation went beyond what State Parties to BITs generally intended to achieve by an MFN provision in a bilateral or multilateral investment treaty.’

⁹³ (Preliminary Objections).

⁹⁴ *Ibid.* para. 49.

⁹⁵ UK Model BIT (1991), Art. 3(3), UNCTAD Conpendium (Vol. III, 1996) 187; UK Model BIT (2005), Art. 3(3), Appendix 10.